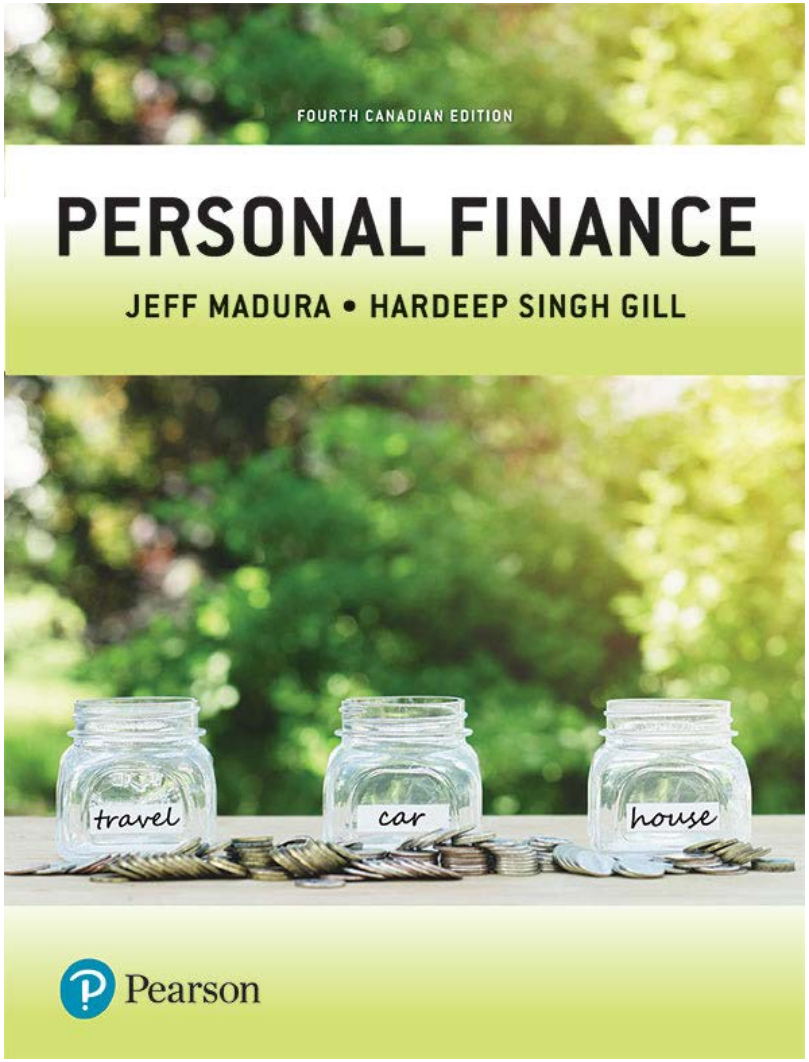
Personal Finance

Fourth Canadian Edition



Chapter 8

Auto and Homeowner's Insurance

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Chapter Objectives

- Explain the role of risk management
- Outline typical provisions of auto insurance
- Describe financial coverage provided by homeowner's insurance

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Background on Insurance (1 of 4)

- Property Insurance
  - Ensures that any damages to your auto and home are covered and that your personal assets are protected from any liability
    - *Liability* – you may be required to pay someone for damages you caused
- Health Insurance
  - Covers health care needs, such as physician, dental, and vision care

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Background on Insurance (2 of 4)

- Disability Insurance
  - Ensures that your monthly income will continue in the event that you are unable to work as a result of any injury or illness
- Critical Illness Insurance
  - Ensure that you have access to lump sum benefits in the event that you suffer a critical illness, such as a heart attack, stroke, life-threatening cancer

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Background on Insurance (3 of 4)

- Long-Term Care Insurance
  - Ensures that you have access to benefits that will help to cover added living costs, such as in-home nursing care, when unable to care for yourself due to injury or illness
- Life Insurance
  - Ensures financial support for dependants, other individuals, charities when you die

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Background on Insurance (4 of 4)

- Primary function of insurance is to maintain your existing level of wealth by protecting against financial losses or liability due to unexpected events
- Insurance is beneficial even when you do not receive any payments from the insurance company; peace of mind from asset protection

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Managing Risk

- Risk Management Steps:
  1. Recognize the risks to which you are exposed
  2. Decide whether to protect against those risks
  3. Decide on the amount of coverage you need and the policy provisions you require

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Risk Management Alternatives

- Avoid Risk
- Reduce Risk
- Accept Risk
  - Likelihood that an event would cause a financial loss is very low, and
  - Potential financial loss due to the event is small

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Last Alternative: Share Risk

- Decision to obtain insurance is determined by weighing its costs and benefits
  - Premium: the cost of obtaining insurance
  - Insurance can protect your assets or income from events that otherwise might cause financial loss but you cannot insure all types of risks
  - When high likelihood that an event would cause a financial loss, and potential financial loss due to the event is large, insure
  - Consider your risk tolerance

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Role of Insurance Companies

- Peril: a hazard or risk you face
- Many different types of insurance policies
- Most popular forms of insurance are property and casualty insurance (includes auto and home insurance), life insurance, and health insurance

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Common Events That Could Cause a Financial Loss (1 of 2)

Exhibit 8.1 Common Events That Could Cause a Financial Loss

Event	Financial loss	Protection
You have a car accident and damage your car	Car repairs	Auto insurance (collision)
You have a car accident in which another person in your car is injured	Medical bills and liability	Auto insurance (accident benefits)
You have a car accident in which another person in the other driver's car is injured	Medical bills and liability	Auto insurance (liability)
Your home is damaged by a fire	Home repairs	Homeowner's insurance

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Common Events That Could Cause a Financial Loss (2 of 2)

Exhibit 8.1 *Continued*

Event	Financial loss	Protection
Your neighbour is injured while in your home	Medical bills and liability	Homeowner's insurance (liability)
You become ill and need medical attention	Prescription drugs	Health insurance
You develop an illness that requires long-term care	Nursing care	Long-term care insurance
You become disabled	Loss of income	Disability insurance
You die while family members rely on your income	Loss of income	Life insurance

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Insurance Company Operations

- Insurance companies pool together a number of insurance policies based on the type of insurance purchased and the characteristics of a group of policy owners
- Majority of policy owners will not need to file claims
- The insurance company will sell a number of policies to generate sufficient revenue

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Relationship between Insurance Company Claims and Premiums

Profit = (Premiums + Investment Earnings) – (Claims + Business Expenses)

- Premium would be relatively low for an event that is very unlikely and that could cause minor damage
- Premium would be relatively high for an event that is more likely and that could cause major damage
- A high insurance premium indicates that there is a greater probability that you may use the insurance coverage provided

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Insurance Underwriters

- employees of an insurance company who calculate the risk of specific insurance policies and decide what policies to offer and what premiums to charge
  - Set premiums that are aligned with anticipated claims

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Role of Insurance Agents and Brokers

- Insurance agent: represents one or more insurance companies and recommends insurance policies that fit customers' needs
- Captive (or exclusive) insurance agent: works for one particular insurance company
- Independent insurance agent: represents many different insurance companies

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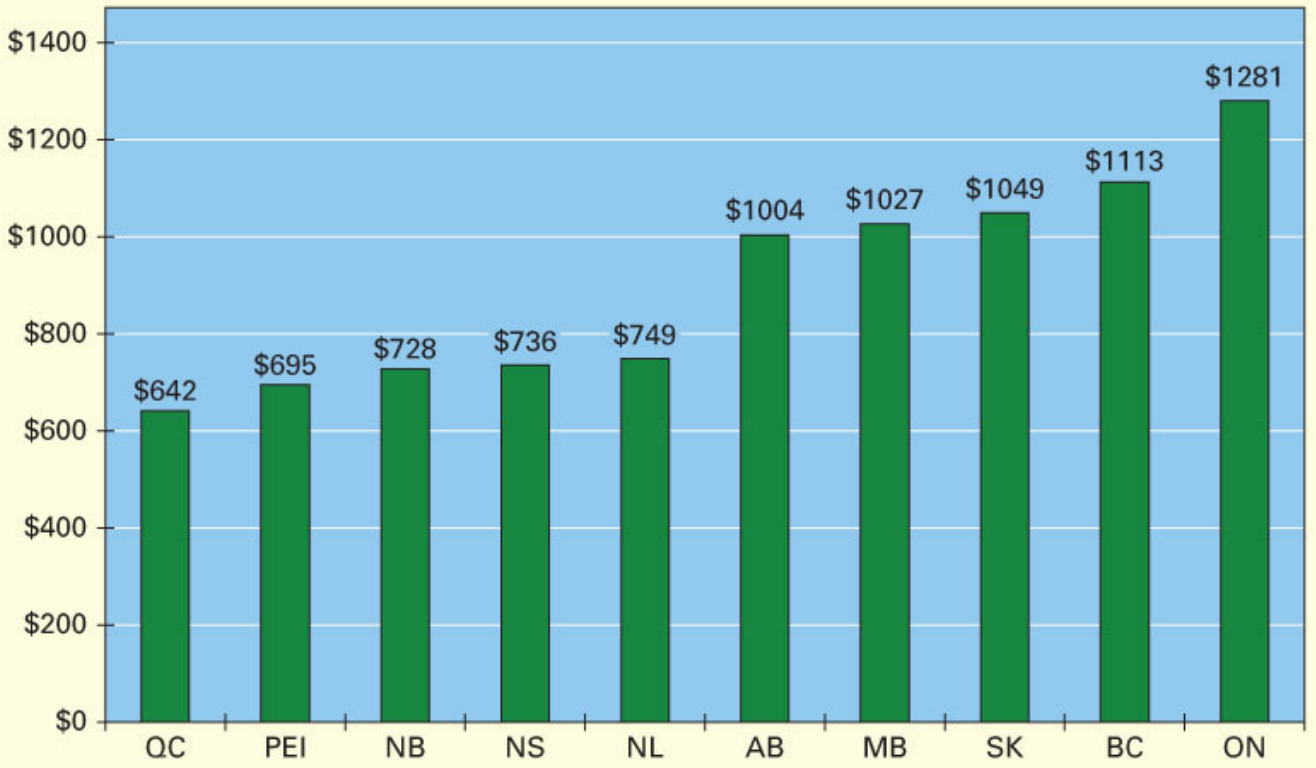
Auto Insurance

- Auto insurance insures against:
  - The legal liability that may arise from causing death or injury to others
  - The expense associated with providing medical care to you, your passengers, and other persons outside your vehicle
  - The costs associated with damage to your automobile
- Provided through a government agency or private property and casualty (P&C) insurance companies (province dependent)

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Auto Insurance Premiums

EXHIBIT 8.2 Estimated Average Net Automobile Insurance Premium, 2011, by Province



Source: Based on Fraser institute digital publication, The personal cost and Affordability of Automobile insurance in Canada (2011 edition), October 2011.

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Auto Insurance Policy Provisions

- Insurance policy: contract between an insurance company and the policy owner
- Auto insurance policy: specifies the coverage provided by an insurance company for a particular individual and vehicle
- Three sections:
  - Third party liability coverage,
  - Accident benefits, and
  - Loss or damage to the insured automobile

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Section A: Third Party Liability Coverage

- Third party liability: a legal term that describes the person(s) who have experienced loss because of the insured
- Two key components:
  - Bodily injury liability, and
  - Property damage liability

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Bodily injury liability coverage

- protects you against liability associated with injuries you (or family members listed on the policy) cause to others
  - Also covers you (or your family members) if you cause injuries to others while driving someone else's car with their permission
  - Coverage includes medical bills, pain and suffering, and economic loss
  - You should always purchase more than the mandatory minimum required third party liability coverage amount

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Property damage liability coverage

- protects against losses that result when the policy owner damages another person's property with his or her car
  - Examples: damage to a car, fence, lamppost, or building
  - Does not cover your own car or other property that you own
  - You should always purchase more than the minimum required property damage liability coverage amount

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Section B: Accident Benefits (1 of 2)

- Accident benefits coverage: insures against the cost of medical care for you and other passengers in your car
  - Provides coverage for medical payments, funeral benefits, loss of income as a result of death or total disability, and uninsured motorist coverage
  - Mandatory in all provinces except Newfoundland and Labrador
  - Medical coverage applies only to the passengers and the driver of the insured car

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Section B: Accident Benefits (2 of 2)

- Uninsured motorist coverage: insures against the cost of bodily injury when an accident is caused by another driver who is not insured
  - Also applies if you are in an accident caused by:
    - a hit-and-run driver
    - a driver who is at fault but whose insurance company goes bankrupt

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Section C: Loss of or Damage to Insured Automobile (1 of 2)

- Coverage is optional in all provinces
- Collision insurance: insures against costs of damage to your car resulting from an accident in which the driver of your car is at fault
- Comprehensive coverage: insures you against damage to your car that results from something other than a collision, such as floods, theft, fire, hail, explosions, riots, vandalism, and various other perils

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Section C: Loss of or Damage to Insured Automobile (2 of 2)

- Coverage may be required by a lender
- Limited Waiver of Depreciation
- Collision coverage does not apply to items that were damaged while in the car
- Deductible: a set dollar amount that you are responsible for paying before any coverage is provided by your insurer

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Facility Association

- ensures that drivers unable to obtain insurance with an individual company are able to obtain the coverage they need to operate their vehicles legally
  - Applies to higher-risk drivers

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No-Fault Auto Insurance

- allows policy owners in all provinces to receive immediate medical payments through their own insurance policy, regardless of who is at fault for causing the accident
- The sooner you receive treatment, the sooner you will get better
- Pure no-fault system: you are unable to sue the at-fault driver for pain and suffering and economic loss (Sask., Man., QC)

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Auto Insurance Minimums (1 of 3)

Exhibit 8.3 Minimum Required Auto Insurance Coverage Amounts by Province/Territory

Province/Territory	Compulsory Minimum Third Party Liability	Accident Benefits (Per Person)*	Right to Sue for Pain and Suffering?	Right to Sue for Economic Loss in Excess of No-Fault Benefits?	Administration
Alberta	$200 000	$50 000	Yes, with conditions	Yes	Private
British Columbia	$200 000	$150 000	Yes	Yes	Government
Manitoba	$200 000	No time or amount limit	No	No	Government
New Brunswick	$200 000	$50 000	Yes, with conditions	Yes	Private
Newfoundland & Labrador	$200 000	$25 000 (optional)	Yes, with conditions	Yes	Private
Northwest Territories	$200 000	$25 000	Yes	Yes	Private

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Auto Insurance Minimums (2 of 3)

Exhibit 8.3 *Continued*

Province/Territory	Compulsory Minimum Third Party Liability	Accident Benefits (Per Person)*	Right to Sue for Pain and Suffering?	Right to Sue for Economic Loss in Excess of No-Fault Benefits?	Administration
Nova Scotia	$500 000	$50 000	Yes, with conditions	Yes	Private
Nunavut	$200 000	$25 000	Yes	Yes	Private
Ontario	$200 000	$3500 – minor injury $65 000 – non minor injury; non-catastrophic injury $1 000 000 – catastrophic injury	Yes, with conditions	Yes, with conditions	Private
Prince Edward Island	$200 000	$50 000	Yes, with conditions	Yes	Private

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Auto Insurance Minimums (3 of 3)

Exhibit 8.3 *Continued*

Province/Territory	Compulsory Minimum Third Party Liability	Accident Benefits (Per Person)*	Right to Sue for Pain and Suffering?	Right to Sue for Economic Loss in Excess of No-Fault Benefits?	Administration
Quebec	$50 000	No time or amount limit	No	No	**Bodily injury:** Government **Property damage:** Private
Saskatchewan	$200 000	**No-fault option:** $6 719 606	**No-fault option:** No	**No-fault option:** Yes	**No-fault option:** Government
		Tort option: Up to $26 273 for noncatastrophic injury, up to $197 056 for catastrophic injury	**Tort option:** Yes, subject to deductible of $5,000	**Tort option:** Yes	**Tort option:** Government
Yukon	$200 000	$10 000	Yes	Yes	Private

*In most cases, amount includes coverage for rehabilitation and excludes coverage from health insurance and other medical plans. Time limit for payments and other conditions may apply.

Source: Based on Insurance Bureau of Canada, http://www.ibc.ca/

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Other Endorsement Forms (optional coverages)

- Loss of vehicle use (cost of a rental car)
- Towing
- Damage to non-owned automobile (rental car insurance)
- Family protection coverage (coverage for an accident with an underinsured, uninsured, or hit-and-run driver)
  - Underinsured motorist coverage: insures against the additional cost of bodily injury when an accident is caused by a driver who has insufficient coverage
- Exclusions: a term appearing in insurance contracts or policies that describes items or circumstances that are specifically excluded from insurance coverage

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Summary of Auto Insurance Provisions

Exhibit 8.4 Summary of Auto Insurance Provisions

Financial Damages Related to Your Car in an Accident	Auto Insurance Provision
Liability due to passengers in your car when you are at fault	Bodily injury liability
Liability due to passengers in your car when you are not at fault but driver of other car is uninsured or underinsured	Uninsured/underinsured motorist coverage
Damage to your own car	Collision
Treatment of injuries to driver and passengers of your car	Accident benefits
Financial Damages Related to the Other Car or Other Property in an Accident	
Liability due to passengers in the other car	Bodily injury liability
Liability due to damage to the other car	Property damage liability
Liability due to damage to the other property	Property damage liability
Financial Damages Related to Your Car When Not in an Accident	
Damage to your car as a result of theft, fire, vandalism, or other non-accident events	Comprehensive

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Factors That Affect Your Auto Insurance Premiums

- Likelihood that you will submit claims
- Estimated cost to cover those claims
- Amount of liability coverage
- Amount of deductible

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Other Factors That Affect Your Auto Insurance Premiums

- How you use your vehicle (to and from work?)
- Value of car
- Repair record of your car
- Your location (urban versus rural areas)
  - does not apply in Saskatchewan

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Other Factors That Affect Your Auto Insurance Premiums (1 of 2)

- Your driver training
- Your driving record
- Provinces that offer auto insurance through private P&C insurers may also consider the following:
  - your age and sex
  - your driving distance

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Comparing Premiums among Insurance Companies

- Premiums can vary substantially among insurance companies
- Compare auto insurance prices among companies before renewing your policy

Free App: *Kanetix Car Insurance Quick Quote*

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If You Are In An Auto Accident (1 of 3)

- Contact the police immediately if any of the following apply:
  - Someone has sustained an injury
  - You think the other driver may be guilty of a Criminal Code offence, such as drinking and driving
  - There is significant property damage

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If You Are In An Auto Accident – Info Checklist (1 of 2)

Exhibit 8.5 Information Checklist

- Date, Time, and Location of Accident
- Driver's Name
- Driver's Licence Number
- Home Address
- Phone Number (home, cell, business)
- Insurance Information (company, policy no., expiry)
- Make and Model of Vehicle

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If You Are In An Auto Accident – Info Checklist (2 of 2)

Exhibit 8.5 *Continued*

- Plate Number (province where issued)
- Is There Damage to Other Vehicle? (provide details)
- How Many Passengers Were in Other Vehicle?
- Description of What Happened
- Were There Any Independent Witnesses?
- Is There a Police Report? (If so, get a copy.)

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If You Are In An Auto Accident (2 of 3)

- File a claim with your insurance company immediately
- Claims adjuster may investigate the accident details and attempt to determine how much you should be paid
- Save receipts for any car repairs and medical expenses and submit to insurance company for reimbursement

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If You Are In An Auto Accident (3 of 3)

- If the other driver is at fault, your insurance company should seek damages from the other driver's insurance company
- If the other driver is not insured, your insurance company will pay accident benefits up to your policy limits
  - For any amounts above this, you will receive benefits from the Motor Vehicle Accident Claims Fund in your province

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Homeowner's Insurance

- Homeowner's insurance: provides insurance in the event of property damage, theft, or personal and third party liability relating to home ownership

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Types of Perils Covered by Homeowner's Insurance

- All perils coverage: protects the home and any other structures on the property against all events except those that are specifically excluded by the policy
- Named perils coverage: protects the home and any other structures on the property against only those events named in the policy

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Homeowner's Insurance Policy Provisions-Perils

Exhibit 8.6 Types of Perils Protected by Various Types of Homeowner's Insurance Policies

	Level of Coverage	
Policy Type	**Building**	**Contents**
Comprehensive Coverage	all perils	all perils
Basic Coverage	named perils	named perils
Broad Coverage	all perils	named perils

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Building (Property Damage) (1 of 2)

- Cash-value policy: pays you the value of the damaged property after considering its depreciation
- Replacement-cost policy: pays you the cost of replacing the damaged property with an item of a similar brand and quality
- Minimum Limit
  - many require at least 80% of full replacement cost
  - your mortgage provider likely will require insurance at least equal to your mortgage

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Building (Property Damage) (2 of 2)

- Other Structures on Property
  - Coverage may include separate structures such as a garage, shed, swimming pool, or trees and shrubs
- Contents (Personal Property)
  - Policy normally covers personal assets such as furniture, computers, or clothing up to a specified maximum amount
    - Coverage amount is a percentage of the dwelling value
  - Home inventory: contains detailed information about your personal property that can be used when filing a claim

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Policy Limits and Exclusions

- Personal Property Replacement Cost Coverage
  - coverage at replacement cost rather than actual cash value
- Personal Property Floater
  - an extension that allows you to itemize your valuables
- Home Office Provision
  - Generally not covered, can request and pay for

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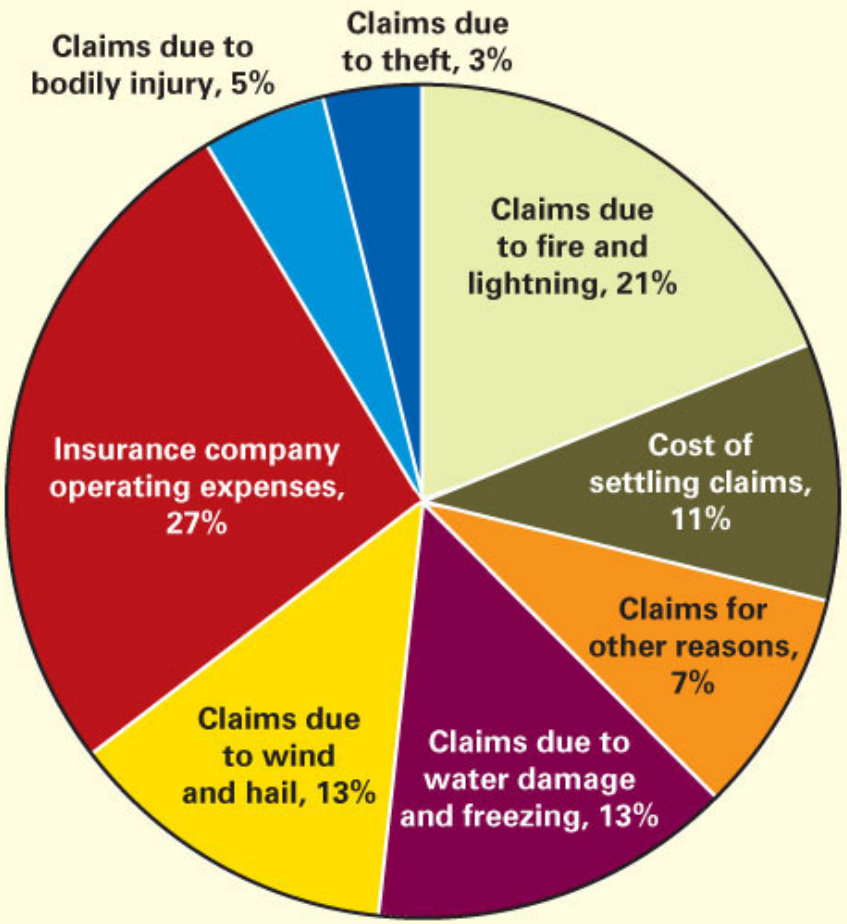
Liability

- Specifies coverage in the event that you are sued as the result of something that occurs in your home or on your property
- Also extends to events that occur away from your home
- Coverage amount is not tied to the value of your home (can include court costs and awards granted due to injury)
- Medical payments and voluntary property damage are also covered

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Homeowner's Insurance Claims

EXHIBIT 8.7 Expense Allocation for Homeowner's Insurance Companies



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Factors That Affect Homeowner's Insurance Premiums

- Value of Insured Home
- Deductible
- Location
- Degree of protection
- Discounts (alarm system, fire extinguisher, lump sum payment vs. monthly, multiple insurance same vendor)

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Reducing Your Homeowner's Insurance Premium

- Increase your deductible
- Improve protection (e.g. security system, fire extinguisher)
- Use one insurer (company) for all types of insurance
- Stay with the same insurance company
- Shop around (compare closely)

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Filing a Claim

- Contact your insurance company immediately
- Claims adjuster estimates damage
- Provide claims adjuster with your home inventory
- Consider obtaining an independent estimate
- Appeal low estimates by insurance company

Free App:
SureSafe app (to document home inventory)

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Tenant's Insurance

- an insurance policy that protects your possessions within a house, condominium, or apartment that you are renting
  - Does not insure the structure itself
  - Covers personal assets
  - Can cover living expenses

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Tenant's Insurance Policy Provisions

- Specifies the maximum amount of coverage for your personal assets
  - May be maximums for specific items like jewellery
  - Also covers liability resulting from injury to a person while on your premises
- Policies vary so check yours closely to ensure it is appropriate for you

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Umbrella Personal Liability Policy

- a supplement to auto and homeowner's insurance that provides additional personal liability coverage
  - Intended to provide additional insurance
  - Must show proof of existing coverage
  - Useful when you have personal assets beyond a car and home that you wish to protect from liability

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